

MBA
(SEM IV) THEORY EXAMINATION 2022-23
FOREIGN EXCHANGE AND FOREX RISK MANAGEMENT

Time: 3 Hours**Total Marks: 100****Note:** Attempt all Sections. If require any missing data; then choose suitably.**SECTION A****1. Attempt all questions in brief.****2 x 10 = 20**

- (a) What do you understand by foreign exchange market?
- (b) Define spot rate.
- (c) What is currency convertibility?
- (d) Differentiate between current and capital account of balance of payment.
- (e) What do you understand by interbank market?
- (f) Define interest rate risk.
- (g) Define Rate of return.
- (h) What do you understand by value at risk?
- (i) Define exchange risk.
- (j) Define foreign trade.

SECTION B**2. Attempt any three of the following:****10 x 3 = 30**

- (a) Discuss about Forex Risk management.
- (b) Explain managing translation exposure.
- (c) Discuss about authorized person and authorized dealers.
- (d) Explain gold currency standard and gold exchange standard.
- (e) Define merchant rates. Also describe the basis of merchant rates.

SECTION C**3. Attempt any one part of the following:****10 x 1 = 10**

- (a) Explain purchasing power parity theory with suitable example.
- (b) Discuss the various foreign currency accounts.

4. Attempt any one part of the following:**10 x 1 = 10**

- (a) How can hedging serve as a significant technique in currency risk management?
- (b) Define transaction exposure. Also discuss about managing transaction exposure.

5. Attempt any one part of the following:**10 x 1 = 10**

- (a) Discuss about various international exchange system.
- (b) What do you understand by balance of payment? Also Explain its components.

6. Attempt any one part of the following:**10 x 1 = 10**

- (a) What are foreign exchange transactions? Explain their types also.
- (b) Discuss the factors that determine forward margin.

7. Attempt any one part of the following:**10 x 1 = 10**

- (a) Discuss about the settlement of transactions- swift, chips ,chaps and fed wire.
- (b) Define exchange dealing. Also discuss about exchange position and cash position.